

NVIDIA (NVDA) Research Report

Date: September 3, 2026

Company: NVIDIA Corporation (NASDAQ: NVDA)

Business overview

NVIDIA is an accelerated-computing company. It combines GPUs, CPUs, networking, systems, and software for AI, data-center computing, gaming, professional visualization, automotive, robotics, and digital-twin applications. It has expanded from PC graphics into these computationally intensive markets. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

The investment question is whether NVIDIA can sustain AI-infrastructure demand while preserving its technology-platform advantage through export-control, supply-chain, customer, and competitive risks.

Partner story: my three-minute explanation

NVIDIA has grown far beyond its gaming-chip roots and is now a major player in the AI computing world. It sells the chips, networking equipment, systems, and software that power most large-scale AI workloads. This shift has driven huge financial results, with revenue hitting \$215.9 billion in FY2026 and \$96.2 billion in Q2 FY2027.

That growth comes with real challenges. Export rules have cut NVIDIA out of China's data-center compute market, and the company recorded a \$4.5 billion charge tied to its H20 chips after licensing restrictions hurt demand. NVIDIA also relies on outside manufacturers and has to stay ahead of competitors. Even with strong momentum, its FY2026 gross margin slipped from 75.0 percent to 71.1 percent, showing that rapid expansion can still pressure profitability.

Looking at the last few years, revenue jumped from \$60.9 billion in FY2024 to \$130.5 billion in FY2025 and then to \$215.9 billion in FY2026. Management is guiding \$108 billion for Q3 FY2027 while assuming no China data-center revenue. Overall, NVIDIA looks like a very strong business, but I'd want to see another quarter of stable demand and margins, along with a realistic valuation check, before making any firm judgment.

MD&A reading

Strengths

FY2026 revenue was \$215.9 billion, up 65% from FY2025. Compute & Networking revenue increased 67% to \$193.5 billion. while Graphics increased 57% to \$22.5 billion. Management

attributed Data Center growth to continued shifts toward accelerated computing and AI. Gaming, professional visualization, and automotive revenue increased 41%, 70%, and 39%, respectively. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

Liquidity is also strong: at January 25, 2026, NVIDIA reported \$62.6 billion of cash, cash equivalents, and marketable securities and said it believed it could meet operating requirements and future obligations. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

Risks and weaknesses

China is the clearest disclosed risk. NVIDIA says it was effectively foreclosed from China's data-center-compute market at the end of FY2026 by U.S. export controls. It states that this can help competitors build developer and customer ecosystems that challenge NVIDIA worldwide. The company recorded a \$4.5 billion H2O inventory and purchase-obligation charge in Q1 FY2026 after demand diminished under licensing requirements. [FY2026 Form 10-K, Item 7 and Item 1A](#)

FY2026 gross margin was 71.1%, compared with 75.0% in FY2025; operating income was 60.4% of revenue, compared with 62.4%. These remain high margins, but the declines show that revenue growth does not assure ongoing margin expansion. [FY2026 Form 10-K, Item 7 \(MD&A\)](#)

Management identifies uncertain supply and capacity availability, long manufacturing lead times, reliance on third-party suppliers, competition, product defects, and rapid technological change as significant risks. [FY2026 Form 10-K, Item 1A](#)

Five direct customers represented 22%, 14%, 13%, 11%, and 10% of Q2 FY2027 accounts receivable. This is not a measure of revenue concentration, but it shows that receivables at quarter end were concentrated among a small number of direct customers. [Q2 FY2027 Form 10-Q](#)

Performance against NVIDIA's history

Fiscal year	Revenue	Net income
FY2024	\$60.9B	\$29.8B
FY2025	\$130.5B	\$72.9B
FY2026	\$215.9B	about \$120.1B

The growth is extraordinary, but it also makes future comparisons harder. The figures above come from NVIDIA's FY2024, FY2025, and FY2026 annual reports. [FY2024 Form 10-K](#) | [FY2025 Form 10-K](#) | [FY2026 Form 10-K](#)

Q2 FY2027 extended the momentum: revenue was \$96.2 billion, up 18% sequentially and

106% year over year; Data Center revenue was \$89.0 billion, up 117% year over year; GAAP gross margin was 75.0%; and GAAP net income was \$59.7 billion. [Q2 FY2027 results](#) | [Q2 FY2027 Form 10-Q](#)

Outlook, call, and limits

For Q3 FY2027, NVIDIA guided to revenue of \$108.0 billion, plus or minus 2%, and GAAP gross margin of 74.0%, plus or minus 50 basis points. The outlook assumes no Data Center compute revenue from China. This is management guidance, not a guarantee. [Q2 FY2027 results](#)

On the Q2 FY2027 call, CEO Jensen Huang argued that continuously operating agentic AI could increase demand for compute. That is management's view, not an independently verified forecast. [Q2 FY2027 earnings-call transcript](#)

Recent news adds a strategic development, not a reason by itself to buy the stock. The Associated Press reported on September 3 that NVIDIA agreed to acquire AI software platform Hugging Face for about \$13 billion while keeping it open and multi-accelerator. I view this as a potential way to deepen NVIDIA's developer ecosystem, but it creates execution and integration questions. This report does not assume financial benefits from the transaction. [Associated Press, September 3, 2026](#)

Current call: Watch-defer - wait for more information before making a decision. My judgment is that NVIDIA is an exceptionally strong operating business, but not yet a complete investment case. The evidence supporting a positive view is its FY2024-FY2026 revenue expansion, Q2's 106% year-over-year growth and 75.0% gross margin, and Q3 guidance despite no assumed China Data Center compute revenue. The evidence supporting caution is the China exclusion, the H20 charge, concentrated receivables, supply-chain dependence, and the absence of a valuation analysis in this report. [FY2026 Form 10-K](#) | [Q2 FY2027 results](#) | [Q2 FY2027 Form 10-Q](#)

What would change this call: I would consider initiating if the next results confirm demand and gross-margin resilience, the company continues diversifying revenue outside China, and a valuation review indicates a reasonable return relative to these risks. I would become more negative if AI-infrastructure demand or gross margins weakened materially, export restrictions expanded, or large customers reduced orders.

Sources added beyond the main filing

- [NVIDIA FY2025 Form 10-K](#)
- [NVIDIA FY2024 Form 10-K](#)
- [NVIDIA Q2 FY2027 Form 10-Q](#)
- [NVIDIA Q2 FY2027 earnings release](#)
- [NVIDIA Q2 FY2027 earnings-call transcript](#)

- [Associated Press report on NVIDIA's Hugging Face acquisition, September 3, 2026](#)
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This report was written for FIN 43900 (AI Finance Applications, Purdue) as a learning exercise. It is not investment research and it is not financial advice.

AI assistance: drafted with Codex, resumed from my Lab 03 session; sources gathered and verified by me; the judgments are mine.

Any remaining errors are my own